SCALABLE BUSINESS MODEL



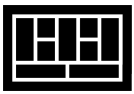
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SUPER GUIDE:

SCALABLE BUSINESS MODEL

BY DANIEL PEREIRA



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INTRODUCTION

Some of today's most successful companies have relied (and continue to rely) on the scalability of their business model to achieve profitable and sustainable growth and development, and this attribute of business modeling can be a key factor in avoiding the risk of the enterprise being left behind.

That is because, more than just creating strong value propositions, businesses benefit from being able to achieve positive and to accelerate returns on the investments previously made.

Scalability refers to both the ability to expand output on demand when resources are added, thus estimating business potential, and the flexibility to grow in the face of external pressures, such as new competitors, altered regulations, or macroeconomic crises and fluctuations.

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WHAT IS A SCALABLE BUSINESS?

Scalability refers to your business's capacity of coping with a period of unpredictable growth. According to Investopedia, scalability is "a company's ability to grow without being hampered by its structure or available resources when faced with increased production".

Simply put, a scalable business is able to keep providing quality products and services in higher demand, maintaining or even improving customer experience, and its business model allows it to grow through new markets -- and geographies.

"SCALABILITY IS A CHARACTERISTIC OF A SYSTEM... THAT DESCRIBES ITS CAPABILITY TO COPE UNDER AN INCREASED OR EXPANDING WORKLOAD.

A SYSTEM THAT SCALES WELL WILL BE ABLE TO MAINTAIN OR INCREASE ITS LEVEL OF PERFORMANCE WHEN TESTED BY LARGER DEMANDS."

There are three features that identify scalable businesses:

1. **Efficient use of resources**
   Scalable businesses are able to get the most of their

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assets, whether physical, financial or human. So, when there is rapid growth, there is no waste. A good example here is WhatsApp: in 2014, when the app was acquired by Facebook, it counted on simply 60 employees, to make the strongest message app in the world run smoothly.

2. **Endurance under pressure**
   Scalable businesses are not protected against inefficiencies while growing, but they are strong enough to survive under higher pressure. Thus, the challenges might even slow the brand down but have no such power to break the venture down entirely. Amazon is a great example, as the brand is able to face huge demands like Black Friday's and keep innovating to deliver value to a larger and larger number of customers, consistently.

3. **Network effects thriving**
   Usually, more customers and increased traffic provide higher earnings. Nevertheless, for some companies, growth can also promote the development of a more valuable product for the customers. And that is called network effects. Network effects are the gear of most social media sites, such as Facebook, Twitter, or Instagram. Because the more users these platforms get, the more interesting they become to the whole community of users.

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EXAMPLE OF SCALABILITY IN THE TECH SECTOR

Some businesses are more easily scalable than others, such as software, subscription services, e-commerce, digital products, franchising, and retail chains, just to mention a few. Tech companies, mainly, have an incredible ability to scale quickly.

That's because these companies usually don't have to invest in physical warehouses and inventory, or in a lot of resources and infrastructure, and also have low operating costs.

Companies that are not directly related to the tech industry may also benefit from some technologies to scale quicker. Banks and financial institutions, for instance, can increase online banking services and enlarge their customer base by implementing digital marketing and advertising.

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GROWING VS. SCALING

It's important to highlight that scaling is not the same as simply growing. Growing means investing in resources to have productivity and revenues increased.

Scalability is about having the productivity and, consequently, revenues, increased, without having investments and costs proportionally elevated. In short words: more output, with the same previous input.

Internet and technology business models are, thus, more easily scalable precisely because the digital is immaterial, so the investments don't enlarge as much as production. For example, with e-commerce, no matter if you will sell 100 or 1000 items, the expenses with the platform and assets don't change a lot, maybe only for marketing or CAC.



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DRIVERS OF SCALABILITY

In order to create a scalable business model, it is essential to identify and understand the drivers of scalability. The most powerful four are:

1. **Light asset base:** the lighter the assets, the lighter the investments. Large infrastructure, like production plants, demands heavy investments, thus leading to lower scalability. On the other hand, light investments, like a website, lead to higher scalability. Nevertheless, the enterprises may make their asset base lighter by outsourcing.

2. **Automated processes:** automated processes are another way to reduce investments. The more you can automatize, the more you reduce costs and, consequently, the more scalable the business gets. Sales and logistics, for example, are areas where you can easily implement automation.

3. **Low-cost labor:** some business models must rely on higher-cost human resources, such as consulting services, with highly specialized professionals. But there are other ventures that may rely on low-cost labor, such as Uber and its drivers. And low-cost labor will also influence scalability.

4. **Prepare for replication:** when it comes to scalability, it is imperative that the business model is able to be replicated in other geographies and markets, regardless of culture and local regulations.

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DANGERS OF SCALING

Scaling seems a must-have at first sight. However, scalability is not for every business and can even have some disadvantages:

- To begin with, scaling too fast can end up leading to a decrease in quality, and that can damage customer experience, thus jeopardizing its image and reputation.
- Moreover, usually, scalable businesses are less complex, thus facilitating new entrants and competition, which can lead to exhaustive battles for markets and leadership.
- Finally, scaling should be the result of growth and not be used as a driving force for growth. For example, you don't hire people to sell more. You start selling more, and, because of that, you need to hire salespeople.

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PATTERNS OF BUSINESS MODEL SCALABILITY

It is fair to enumerate five patterns of business model scalability. They are:

1. **Operating with multiple distribution channels:** A simple and successful way to become scalable is by using different distribution channels for sales. Varied channels help businesses reach new clientele and reveal new opportunities. Famous brands like Google or Apple are good examples since they were able to spread costs over multiple channels and increase sales and revenues from that.

2. **Eliminating typical capacity limitations:** Successful scalable businesses are able to overcome capacity limitations, whether physical or not (manpower, financial investment, storage, technology, production capacity, etc.). These barriers tend to prevent several sectors from growing and, above that, scaling.

3. **Outsourcing capital investments to partners:** Scalable business models usually create open platforms to allow them to shift expenditures to strategic partners. That way, they can transfer or share cash flow and capital requirements with partners, thus optimizing financial limitations and prioritizing key investments.

4. **Allowing customers and partners to assume multiple roles in the business:** Scalable businesses will also

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work together with their strategic partners and customers. They may collaborate through complex joint ventures or maybe through more informal mechanisms, such as core platforms to share distribution methods, loyalty programs, and resources. These several roles that the business offers partners and customers provide growth of the brand, but, at the same time, focus on what represents value for the customers.

5. **Creating platform models:** Some top scalable businesses build platform business models, to turn rivals into partners. They promote relationships by letting them share the platform and, in return, generate revenues for the company., offering services like benchmarking data, for example.

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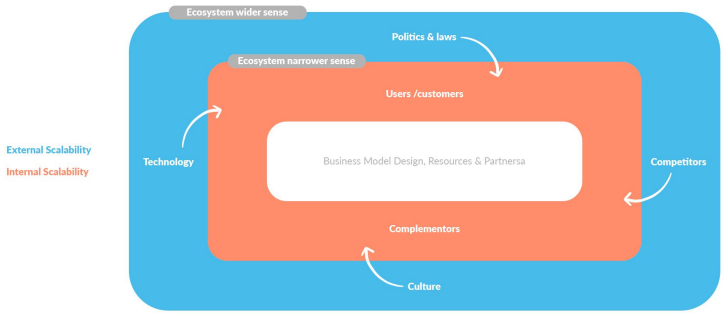
INTERNAL VS EXTERNAL SCALABILITY

So far, it has been seen that scalability can be built over different factors and strategies. To understand it all better, it is important to separate scalability into two: internal and external.

Internal scalability is about the business model design, with all its resources and partners, and it describes how capable the enterprise is to expanding customer base and sales rapidly, at a low cost.

External scalability, on its side, concerns the business environment, with all the customers, markets, and regulations. Therefore, it will describe how the business environment is welcoming for expansion.

The BMI Scalability Matrix was created on the basis of these two dimensions:



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STRATEGIES TO IMPROVE YOUR INTERNAL SCALABILITY

Leverage External Resources
Some of the most successful business models nowadays leverage external resources. The use of other producers and resources reduces overhead costs, like labor or infrastructure. It is the case of Uber, with cars and drivers, and Android, with software developers and phone manufacturers. Besides, there will always be more resources outside your company than inside.

Digitize and Automate
Automation and digitization are probably the biggest drivers for scalability. Automation in manufacturing is actually the reason for economies of scale. Of course not every business can benefit as much from both drivers, especially the ones that leverage human skills, such as a hair salon. But with AI and powerful algorithms, more and more tasks will be automated in the coming years.

Develop and Monitor a Growth Cycle
A business model designed to be scalable depends on a virtuous cycle of growth (also called flywheel), composed of positive feedback loops. These feedback loops happen when you improve your offer in a way that benefits your customers while enhancing your revenues.

This is essential when it comes to multisided platforms which attract two types of customers, like Uber with drivers and riders, Airbnb with hosts and guests, or Facebook, with users and advertisers. In every case, the value proposition for one side improves the bigger the number gets on the other side, and vice-versa.
Find the Right People to Scale

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Having the right team to work with you is imperative for scaling. Some people simply cannot work well under the pressure of uncertainty and instability. The best option for scalable business is to rely on experienced people, with the proper mindset to scale.

STRATEGIES TO IMPROVE YOUR EXTERNAL SCALABILITY

Pick a Big and Growing Market

It is not difficult to assume that big and growing markets are the best choice for any company. However, when you have to decide between one out of the two, pick the second one. A growing market will allow you to raise funds in order to grow along with it.

It is worth highlighting that a small market can also be fine, as long as it is a niche market, within a bigger one, with possibilities for expansion.

Target the Right Customers the Right Way

- Develop a solution that fits your customers' habits, preferences, and lifestyles.
- Target a market with a good amount of early adopters, who are eager to try out novelties.
- In a two-sided platform, aim to find consumers on one side who are able to become producers on the other side.
- Try to turn your customers into your sales force, to promote your business.

Look for Market Constraints

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No matter how big and growing your market must look, it will always face some barriers, such as language, cultural differences, geography, regulations and taxes, local technology, etc. Google, for example, cannot reach some regions that lack the internet. So, the brand started the Loon project, to provide internet to rural areas. Therefore, you should always think on how ro overcome limitations to expand your market.

Do Something Relevant

If you want to scale really big, you need a higher purpose, more than simply a strong value proposition. A higher purpose brings something relevant to the world, more than just profit for your business. And it will give you direction and keep you motivated even when you face scary challenges. Besides, in the future, it will help you attract talented labor, aiming to contribute in an organization with a great vision.

Always Think About Both Sides

The differences between internal and external scalability are, in fact, complementary. That is the reason why it is important to think of both sides when scaling. Because the potential growth will be limited if any of the sides is weak, no matter how strong the other one is.

If you have a full-of-potential environment but limited resources and partners for growth, your business will not be able to reach the whole market. On the other side, it is not worth it if you do have the capability for expansion, but no customers to attract or strong barriers that impede you.

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TIPS TO BUILD A SCALABLE BUSINESS

Here are some tips on how to make your brand more scalable:

- **Build a business model that is attractive to investors:** not every cool idea is good enough for scaling. If you need investors, have in mind they like based-on-research ideas, which are likely scalable and, thus, investable. And that must be Clear in your business plan, with high margins, low support, and minimum staff. Moreover, don't be afraid to rely on investor funding. You will give up some control, but their expertise and experience are generally worth it.

- **Validate your business model with an MVP:** your business is only ready for scaling when it has a product working and being sold. So, rely on a minimum viable product and multiple pivots with real customers before calling for investors to scale.

- **Build a strong team:** as mentioned above, not every person is able to work in a scalable business. Hire people you can rely on, experienced human resources who will be able to support the venture and follow up the vision. Also, empower them with decision-making abilities to avoid you from making every decision on your own.

- **Outsource for optimization:** you must not outsource your core competency or count on external intellectual

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property. But don't try to do everything inside, that will be slow and expensive. Third parties may serve you better results as they have the relevant staff and systems to handle a specific function efficiently.

- **Focus on marketing:** direct marketing is usually not scalable. Local promotions and ad campaigns restrict your reach. That's why you should invest in heavy indirect marketing to make your brand visible and scalable. Start with a loyal customer community through digital marketing and social media promotions, and then spread the news by attending business conferences, workshops, etc. also to make acquaintances with investors and business experts.

- **Invest in technology and automation:** when a business depends heavily on its staff, it is not scalable, because human resources have limitations. Before scaling, aim for automatizing production and processes, such as robust CRMs and intelligent systems so that you focus on growth-related activities.

- **Consider licensing and franchising:** especially when it comes to markets that already have major players, it is interesting to make partnerships with companies whose customer base is similar to yours, since you can form mutually beneficial goals. Another option is to franchise your business to scale faster, mainly geographically, whenever you have a proven model.

- **Improve your business continuously:** if your business is completely done right in the beginning, maybe it will not be open for scaling. So, instead, build up a plan that allows continuous innovation and complementary solutions in the future, which may foster growth.

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HYPER SCALABILITY

There are some brands that can be considered hyper scalable since they seem to be born to scale. They are web companies, which don't need great infrastructure, logistics, inventory or production plants. They simply rely on creativity and innovation.

One great example is Airbnb. Its 600 employees can offer half a million rooms to the market without investing anything in real estate. The startup is already worth half of the nearly 100-year-old Hilton, which, on the other hand, needs over 300,000 employees to operate 680,000 rooms and a fortune in real estate investments.

There are three factors to create a Hyper Scalable business model:

1. **5A Hyper Scalable business model is based on intangible assets**
   In a digital world, the reproduction of intangible assets costs zero and the quality remains the same. Digital music, books, movies, photos, but also patents, algorithms, and data are good examples. When it comes to tangible assets, then they are not owned, just like Airbnb or Uber.

2. **A Hyper Scalable business model requires technology as a lever**
   In the past, music was not scalable. A troubadour played in castles for entertainment. But the invention of the phonograph made music scalable. Music could be recorded, distributed, and enjoyed without the

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musician. The technology excused that limitation. Nowadays, a rock star is a successful Hyper Scalable Artist.

3. **A Hyper Scalable business model uses the Internet as distribution channel**
   The Internet allows any business to reach 40% of the world population all over the planet, at no cost. Online means global. Serving a customer through the internet requires the same effort, no matter if they are on the corner or one ocean away.

In short, a hyper scalable business offers value at basically no cost, simultaneously to millions of users, with a really small team. The business model is not based on the traditional factors of production: land, labor, and capital. Instead, the Hyper Scalability is based on the trinity: create, replicate and scale.

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CONCLUSION

Simply put, to build a scalable business, you need to ensure that your business can withstand pressure and keep profitable as sales volume grows. In order to reach that, your business model should be flexible to welcome unexpected growth rates.

While traditional business models typically lead to returns that are linear to the investments, scalable businesses may achieve accelerating returns.

However, that is not simple. It requires thinking strategically both about value propositions for stakeholders, partners, and customers involved and in the business ecosystem. And that strategic thinking cannot be met simply by relying on traditional analytical exercises such as analyzing cost structures and market-segment growth.

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